

PyraGrid

Business Plan and Financial Model, FY2026–FY2031

Wildfire intelligence for companies with sites in fire country

Company	PyraGrid (in formation, Spain)
Stage	Pre-seed, working product live at rural-valley.vercel.app
Document	Business plan, five-year financial model, valuation
Version	1.0, September 2026
Funding sought	€0.30M pre-seed now, €1.5M seed in Q1 2028
Confidentiality	Confidential. Prepared for investors, grant bodies and the Rural Valley programme.

All financial figures are forecasts built from the assumptions in section 9.1. They are planning estimates, not guarantees. Market figures marked *estimate* are to be validated during the 2027 pilot programme.

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1. Executive summary

The problem. Companies that own energy, telecom and forestry assets in Southern Europe face a growing wildfire risk, but the data they get is not built for them. Public satellite services show where heat is, not what it means for a specific solar farm, substation or tower, and not what the company should do next.

The solution. PyraGrid turns satellite fire detections, weather and optional ground sensors into one risk level per site, an estimated fire position, and the company's own emergency protocol, with an AI advisor that proposes next steps and a person who approves them. The same picture is shared, with the right level of detail, with the fire service, civil protection and local organisations. A drill mode trains staff on realistic scenarios.

Business model. Annual subscription per monitored site (€1,800 Essential, €3,600 Professional), optional Sensor-as-a-Service (€2,400 per site per year) and onboarding and training services.

Key figures (base case)

	FY2027	FY2029	FY2031
Customers (year end)	6	40	110
Monitored sites (year end)	60	760	2,860
Annual recurring revenue (ARR)	€0.17M	€2.6M	€11.5M
Revenue	€0.09M	€1.8M	€9.2M
Gross margin	76%	74%	75%
EBITDA	(€0.33M)	(€0.11M)	€3.8M
EBITDA margin	-353%	-6%	41%
Team (FTE)	6	18	34

- **Break-even:** monthly EBITDA turns positive around **Aug 2029**; FY2030 is the first profitable year.

- **Funding:** €0.30M pre-seed plus an ENISA participative loan (€0.15M) and innovation grants (€0.25M) fund the pilots; a **€1.5M seed round** in Q1 2028 takes the company to profitability. The lowest year-end cash balance is €0.23M (FY2027).
- **Unit economics:** a platform site earns a 89% contribution margin; a sensor site pays back in 30 months; LTV/CAC is 6.4x and the cost of winning a customer is paid back in 8 months.
- **Valuation:** €7.1M on a discounted cash flow at a 25% venture discount rate; €22.6M present value of a 6x ARR exit in 2031.

2. The problem

Wildfires in Southern Europe are becoming larger, faster and harder to predict. Longer droughts, heat waves and the abandonment of rural land leave more fuel near infrastructure. The EU's European Forest Fire Information System (EFFIS) reports that Spain, Portugal, Italy and Greece account for most of the burned area in the EU in a typical year.

For a company that owns assets in these regions, a fire means:

- **People at risk:** technicians and contractors on remote sites, often with one access road.
- **Physical damage:** solar panels, inverters, turbines, substations and telecom equipment.
- **Outages and penalties:** lost generation, grid and telecom service interruptions.
- **Rising insurance costs** and new disclosure duties on physical climate risk (EU CSRD, ESRS E1).

What companies have today. Free satellite services such as NASA FIRMS and EFFIS show heat anomalies across the whole region, several times a day. They answer *where is there heat?* but not:

1. *Which of my sites is exposed, and how badly?*
2. *Is the fire really there, and exactly where, at night or under cloud?*
3. *What does our own procedure say we must do now, and who does it?*
4. *What does the fire service need from us?*
5. *Is our team trained to react in minutes, not hours?*

In practice, control rooms monitor public maps by hand, phone site managers, and search for the emergency procedure in a PDF. That costs the minutes that matter most.

3. The solution

PyraGrid is a decision layer between fire data and the people who must act. It runs in the browser and is live today.

Capability	What it does for the customer
Asset risk engine	Scores every site from 0 to 100 every satellite pass from distance, wind alignment, weather, fuel and vulnerability, with every factor shown.
Ground sensors (optional)	Temperature sensors placed on real places around each site (fence, nearby buildings, forest edges). They confirm fire on the ground, see it at night or under cloud, and flag when a sensor dies or is moved.
Combined fire position	Hot sensors are combined into one estimated fire position with an uncertainty radius, far more precise than a 375 m satellite pixel.
Protocol engine	The company's own emergency rules turn each risk level into a checklist: who to call, what to check, when to evacuate.
AI advisor	A language model proposes next steps from the evidence. Every suggestion cites its data, never gives firefighting tactics, and is approved or rejected by a person.
Fire-service handoff	A one-page pack for firefighters: access routes, hazards, water points, people on site, fire position.
Shared situation view	Fire service, civil protection and NGOs see the same picture with a data-sharing policy per role.
Drills and simulation	Staff train on realistic scenarios; the system scores response speed and accuracy. A live simulator shows how a fire would spread under today's conditions.

Why it is defensible

- **Data network effects:** every site, sensor and drill improves the scoring and the protocol library; partner agencies using the shared view pull more asset owners in.
- **Workflow lock-in:** once a company's protocols, contacts and audit trail live in PyraGrid, switching costs are high.
- **Hardware plus software:** the sensor network is a physical asset in the field with a multi-year contract.
- **Trust by design:** transparent scoring, evidence-cited AI and human approval fit the needs of regulated operators and insurers.

4. Market analysis

4.1 Target customers

Segment	Assets	Why they buy
Renewable energy owners and operators	Solar plants, wind farms, battery storage	Personnel safety, lost generation, insurance, lender requirements
Grid operators	Substations, lines crossing forest	Service continuity, regulatory duty, liability
Telecom tower companies	Rural towers and shelters	Uptime obligations, emergency communications
Forestry and timber companies	Managed plantations	Asset value, certification, insurance
Insurers and brokers (channel)	Portfolios of the above	Loss prevention, underwriting data
Public bodies (partners)	Fire services, civil protection, municipalities	Free shared view; they bring asset owners in

4.2 Market size (bottom-up)

Sizing counts monitored sites, the unit PyraGrid sells. Site counts are *estimates* built from public registries and industry sources at order-of-magnitude level; they will be validated with regulator and industry data during the 2027 pilots.

Level	Scope	Sites (<i>estimate</i>)	Revenue per site	Annual market
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TAM	Exposed critical sites in Spain, Portugal, southern France, Italy and Greece	120,000	€2,900	€348M
SAM	Energy, telecom and forestry sites in high-risk zones of Spain and Portugal	27,000	€2,900	€78M
SOM	PyraGrid base case, FY2031	2,860	€4,026	€11.5M

The FY2031 base case reaches **10.6% of the Iberian SAM**, a realistic share for a specialist leader five years after launch. Revenue per site in the TAM and SAM rows is a blended planning figure (platform tiers plus sensor attach).

4.3 Market drivers

- **Climate:** longer and more intense fire seasons across the Mediterranean.
- **Regulation:** the EU Corporate Sustainability Reporting Directive (CSRD) and ESRS E1 require large companies to assess and report physical climate risks.
- **Insurance:** underwriters increasingly price wildfire exposure per asset and reward mitigation.
- **Energy transition:** thousands of new solar and wind sites are being built in rural, fire-prone land.
- **Public policy:** EU and national programmes fund wildfire prevention and early detection.

5. Competition and positioning

	Public satellite services (FIRMS, EFFIS)	Satellite analytics start-ups	Ground sensor networks	Camera detection networks	PyraGrid
Detects fires across the region	Yes	Yes	No	Partial	Yes (satellite)
Risk score per customer site	No	Partial	No	No	Yes
Confirms fire on the ground, night and cloud	No	No	Yes	Partial	Yes (optional sensors)
Company protocol and actions	No	No	No	No	Yes
AI advisor with human approval	No	No	No	No	Yes

Shared view for fire service and agencies	Public only	No	Partial	Partial	Yes, per-role policy
Drills and training	No	No	No	No	Yes
Price	Free	High, enterprise	Hardware-led	Hardware-led	Per site, from €1,800/yr

Positioning: PyraGrid does not compete with public satellite data; it uses it. It sits one level up, as the operational layer an asset owner needs to act, and it integrates detection sources rather than betting on one. Sensor and camera providers are potential data partners.

6. Business model and pricing

6.1 Offer

Product	Includes	Price (2026 list)
Essential	Risk engine, alerts, protocol engine, handoff pack, shared view	€1,800 per site / year
Professional	Essential plus AI advisor, drills and simulator, API, partner sharing controls	€3,600 per site / year
Enterprise	Professional for 50+ sites, integrations, SLA	Volume pricing from Professional
Sensor-as-a-Service	30 sensors and a gateway per site, installation, maintenance, replacement; 3-year minimum term	€2,400 per site / year
Onboarding	Site import, protocol set-up, integration	€2,000 per customer
Training and drills	Annual drill programme and training	€1,000 per customer / year
Public partners	Shared situation view for fire services and agencies	Free

List prices rise 3% a year from FY2029. The Professional share grows from 40% to 62% of sites as customers adopt the AI advisor and drills.

6.2 Revenue model

- **Recurring subscription** (platform and sensors) is billed annually

in advance: about 98% of FY2031 revenue.

- **Land and expand:** customers start with their most exposed sites and add sites over time; sites per customer grow from 10 to 26.
- **Hardware as a service** keeps the sensor fleet on PyraGrid's balance sheet, turning a one-off sale into recurring revenue with a 23% internal rate of return per sensor site.

7. Go-to-market strategy

Phase	Period	Focus	Target
1. Pilots	2026–2027	Galicia (Ourense) and northern Portugal; grant-funded sensor pilots; Rural Valley programme	6 paying customers, 60 sites
2. Iberia	2028–2029	Renewable owners, grid operators and tower companies across Spain and Portugal	40 customers, 760 sites
3. Southern Europe	2030–2031	France (south), Italy, Greece through partners	110 customers, 2,860 sites

Channels

- 1. **Direct sales** to asset owners: head of HSE, operations and risk.
- 2. **Insurers and brokers:** PyraGrid as a loss-prevention service bundled with policies.
- 3. **EPC and O&M contractors** who build and run solar and wind plants.
- 4. **Public partners:** free shared view for fire services and civil protection, which creates demand from asset owners in their area.

Sales cycle: 3 to 6 months for mid-size operators, 6 to 12 months for utilities. A paid pilot of 5 to 10 sites converts to a portfolio contract.

8. Operations and team

8.1 Founding team

- **Co-founder, technology (engine, data and AI):** risk engine, sensor model, AI advisor, infrastructure.
- **Co-founder, product (console and experience):** operator console, partner views, design.

The founders will recruit advisors in wildfire operations (a former fire-service officer), energy asset management and insurance in 2027.

8.2 Hiring plan (FTE at year end)

Function	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Founders	2	2	2	2	2	2
Engineering and data	0	2	4	6	9	12
Sales and partnerships	0	1	2	4	6	8
Customer success and field operations	0	1	2	4	6	8
Finance, legal and admin	0	0.5	1	2	3	4
Total	2	6.5	11	18	26	34

Fully loaded annual costs (salary plus Spanish social security) are €58,000 (engineering), €62,000 (sales, including variable pay), €45,000 (customer success and field) and €50,000 (G&A), rising 3% a year.

Founders take reduced salaries until the seed round.

8.3 Operations

- **Cloud platform:** serverless hosting and managed Postgres; the cost scales with sites (€85 per site per year including AI inference).
- **Sensor supply chain:** off-the-shelf LoRaWAN modules, thermistors, solar cells and enclosures assembled by a regional partner; bill of materials about €85 per sensor, €3,000 per site kit including the gateway.
- **Field operations:** installation by trained local contractors (€1,200 per site), annual inspection and battery service (€250 per site per year).

9. Financial plan

All amounts are in thousands of euros (k€) unless stated. Negative values are in brackets. The fiscal year is the calendar year. FY2026 is the formation and pilot year.

9.1 Key assumptions

Area	Assumption	Value
Customers	Paying customers at year end	0, 6, 18, 40, 70, 110
Expansion	Average sites per customer	0, 10, 14, 19, 23.5, 26
Pricing	Essential / Professional per site per year	€1,800 / €3,600, +3%/yr from FY2029
Mix	Professional share of sites	0%, 40%, 50%, 55%, 60%, 62%
Sensors	Share of sites with the sensor network	0%, 15%, 20%, 25%, 30%, 35%
Churn	Annual customer churn from FY2028	8% (replaced by new sales)
Revenue timing	Recognised on average sites in the year; billed annually in advance	
Cost of revenue	Cloud and AI per site; support 8% of subscriptions; sensor field costs; installation	See 8.3
Sensor fleet	Capitalised, straight-line over 4 years (half-year convention); 10% of sensors replaced each year	

Marketing	Fixed programme plus 10% of revenue	
Working capital	Receivables 45 days; payables 30 days; deferred revenue 45% of annual subscription	
Tax	Spanish corporate tax: 15% for the first two profitable years, then 25%; losses carried forward	
Public funding	ENISA participative loan €0.15M at 4%, repaid FY2029–FY2031; innovation grants €0.25M	

9.2 Revenue build

Driver	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Customers (year end)	0	6	18	40	70	110
New customers	0	6	12	23	33	46
Monitored sites (year end)	0	60	252	760	1,645	2,860
Sites with sensors (year end)	3	9	50	190	494	1,001
Blended price per site (€)	–	2,520	2,700	2,874	3,055	3,186

k€	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Platform subscriptions	–	76	421	1,454	3,674	7,177

Sensor-as-a-Service	—	7	71	288	820	1,793
Onboarding and training	—	12	42	86	136	202
Total revenue	—	95	534	1,829	4,630	9,173
Annual recurring revenue (year end)	—	166	801	2,640	6,211	11,515
Revenue growth	n/a	n/a	464%	242%	153%	98%

9.3 Unit economics

Per platform site (FY2029)

	€ per site per year
Blended subscription price	€2,874
Cloud hosting and data	(70)
AI inference	(15)
Customer support (8%)	(230)
Contribution per site	€2,559
Contribution margin	89%

Per sensor site (Sensor-as-a-Service)

	€
Hardware kit (30 sensors and gateway)	€3,000
Installation	€1,200
Upfront investment	€4,200
Annual fee	€2,400
Field service, connectivity and batteries	(250)
Support (8%)	(192)
Sensor replacement (10% per year)	(255)
Annual contribution	€1,703
Payback	30 months
IRR over the 4-year sensor life	23%

Per customer (FY2029)

Metric	Value	How it is calculated
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Average revenue per customer (ARPA)	€63,054	Revenue ÷ average customers
Customer acquisition cost (CAC), fully loaded	€31,052	(Sales and marketing + 50% of customer success + 30% of founders' time) ÷ new customers
Gross margin	74%	Gross profit ÷ revenue
Lifetime value (LTV), 5-year horizon	€199,271	$ARPA \times \text{gross margin} \times \sum (1 - \text{churn})^t$ for $t = 0 \dots 4$
LTV uncapped	€584,511	$ARPA \times \text{gross margin} \div \text{churn}$
LTV / CAC	6.4x	Benchmark for healthy SaaS: 3x or more
CAC payback	8 months	$CAC \div \text{monthly gross profit per customer}$

9.4 Income statement

k€	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Revenue	–	95	534	1,829	4,630	9,173
Cloud, data and AI	(2)	(3)	(13)	(43)	(102)	(191)
Customer support	–	(7)	(39)	(139)	(360)	(718)
Sensor field operations	(0)	(2)	(7)	(30)	(85)	(187)
Sensor installation	(4)	(7)	(50)	(168)	(364)	(609)
Sensor fleet depreciation	(1)	(5)	(23)	(93)	(265)	(588)
Gross profit	(7)	72	402	1,356	3,454	6,880
Gross margin	n/a	76%	75%	74%	75%	75%
People	(60)	(327)	(636)	(1,097)	(1,639)	(2,211)
Marketing	(5)	(39)	(113)	(303)	(643)	(1,167)
Other operating costs	(10)	(45)	(90)	(160)	(230)	(300)
EBITDA	(81)	(335)	(415)	(111)	1,207	3,789
EBITDA margin	n/a	-353%	-78%	-6%	26%	41%
Depreciation	(1)	(5)	(23)	(93)	(265)	(588)
EBIT	(82)	(340)	(438)	(204)	942	3,202
Grants	–	150	100	–	–	–
Interest	(3)	(6)	(6)	(5)	(3)	(1)

Profit before tax	(85)	(196)	(344)	(209)	939	3,201
Corporate tax	—	—	—	—	(16)	(480)
Net profit	(85)	(196)	(344)	(209)	923	2,721

Depreciation of the sensor fleet is part of the cost of revenue; it is added back to reach EBITDA.

9.5 Cash flow statement

k€	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Net profit	(85)	(196)	(344)	(209)	923	2,721
Depreciation	1	5	23	93	265	588
Change in working capital	2	70	247	704	1,321	1,913
Operating cash flow	(82)	(121)	(74)	587	2,509	5,221
Sensor fleet capex	(9)	(19)	(126)	(432)	(959)	(1,648)
Free cash flow	(91)	(140)	(201)	156	1,550	3,573
Equity raised	310	–	1,500	–	–	–
ENISA loan drawn / (repaid)	150	–	–	(50)	(50)	(50)
Net change in cash	369	(140)	1,299	106	1,500	3,523
Cash at year end	369	229	1,528	1,633	3,133	6,656

Annual billing in advance makes working capital a source of cash as the company grows: deferred revenue reaches €5.1M in FY2031.

9.6 Balance sheet (year end)

k€	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Cash	369	229	1,528	1,633	3,133	6,656

Trade receivables	–	12	66	225	571	1,131
Sensor fleet (net)	8	22	126	465	1,159	2,219
Total assets	377	262	1,719	2,324	4,863	10,007
Trade payables	2	8	26	69	147	261
Deferred revenue	–	75	358	1,178	2,767	5,126
ENISA loan	150	150	150	100	50	–
Paid-in capital	310	310	1,810	1,810	1,810	1,810
Retained earnings	(85)	(281)	(624)	(833)	90	2,810
Total liabilities and equity	377	262	1,719	2,324	4,863	10,007

The balance sheet balances in every year: total assets equal total liabilities and equity.

9.7 SaaS metrics and KPIs

Metric	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
ARR (k€)	–	166	801	2,640	6,211	11,515
ARR growth	n/a	n/a	384%	229%	135%	85%
Gross margin	n/a	76%	75%	74%	75%	75%
EBITDA margin	n/a	-353%	-78%	-6%	26%	41%
Rule of 40 (growth + EBITDA margin)	n/a	n/a	n/a	n/a	179%	139%
Burn multiple (net burn ÷ net new ARR)	n/a	0.85x	0.32x	n/a	n/a	n/a
Revenue per FTE (k€)	–	15	49	102	178	270
Sales and marketing ÷ revenue	n/a	109%	46%	31%	23%	19%

A burn multiple below 1.5x and a Rule of 40 above 40% are signs of efficient growth. The Rule of 40 is shown from FY2030, when revenue is large enough for it to be meaningful.

9.8 Break-even analysis

- **EBITDA break-even (monthly run rate):** Aug 2029, found by assuming monthly EBITDA grows linearly across FY2029 and FY2030 (see appendix).
- **First profitable year:** FY2030, EBITDA €1.21M.
- **Sites needed to cover fixed costs in FY2030:** operating costs of €2.51M ÷ gross profit per average site of €2,872 = **875 sites**, against 1,202 average sites in the base case.
- **Lowest year-end cash:** €0.23M in FY2027, just before the seed round.

9.9 Scenarios

FY2031	Bear	Base	Bull
Growth versus plan	60%	100%	130%
Price versus plan	90%	100%	105%
Annual churn	12%	8%	6%
Customers	66	110	143
Revenue	€5.0M	€9.2M	€12.5M
EBITDA	€0.7M	€3.8M	€6.2M
EBITDA margin	15%	41%	50%
Lowest year-end cash	€0.18M	€0.23M	€0.27M
Cash FY2031	€1.1M	€6.7M	€10.9M
DCF value	€0.7M	€7.1M	€12.3M

Even in the bear case the company does not run out of cash with the planned funding and reaches positive EBITDA by FY2031. The bull case would justify an optional Series A to enter France and Italy earlier (section 10.4).

9.10 Sensitivity: FY2031 EBITDA (k€)

Rows: price versus plan. Columns: customer growth versus plan.

Price \ Growth	70%	85%	100%	115%	130%
80%	794	1,586	2,318	3,049	3,841
90%	1,309	2,215	3,054	3,891	4,797
100%	1,824	2,844	3,789	4,733	5,753
110%	2,339	3,473	4,525	5,575	6,709

120%	2,854	4,103	5,261	6,417	7,666
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Price has a stronger effect than volume because most costs are fixed: a 10% price change moves FY2031 EBITDA by about €0.74M.

Sensitivity of LTV/CAC to churn (FY2029)

Annual churn	4%	8%	12%	16%
LTV/CAC (5-year horizon)	7.0x	6.4x	5.9x	5.5x

10. Funding and capital structure

10.1 Sources and uses, FY2026–FY2028

Sources	k€	Uses	k€
Founders' capital	10	Operating losses FY2026–FY2028 (EBITDA)	831
Pre-seed (business angels, programme)	300	Sensor fleet capex FY2026–FY2028	154
ENISA participative loan	150	Interest and tax, less the cash from annual billing in advance	(303)
Innovation grants (e.g. CDTI, regional)	250	Cash at end of FY2028	1,528
Seed round	1,500		
Total	2,210	Total	2,210

10.2 Use of the seed round (€1.5M)

Use	Share	k€
Engineering and product (sensor v2, AI, integrations)	40%	600
Sales and partnerships in Spain and Portugal	30%	450
Sensor fleet for new customers	15%	225
Customer success and field operations	10%	150
Working capital and contingency	5%	75
Total	100%	1,500

10.3 Capitalisation table

Shareholder	After pre-seed (FY2026)	After seed (FY2028)
Founders	80.0%	56.0%
Pre-seed investors	20.0%	14.0%
Employee option pool	—	10.0%
Seed investors	—	20.0%
Total	100.0%	100.0%
Pre-money valuation	€1.20M	€6.00M
Post-money valuation	€1.50M	€7.50M

The option pool is created before the seed round (included in the pre-money valuation).

10.4 Optional Series A

If the bull case materialises, a Series A of about €4–6M in FY2029–FY2030 would fund entry into France, Italy and Greece. It is not needed for the base case, which is self-funding from FY2030.

10.5 Investor returns (exit at year-end FY2031)

Exit value = FY2031 ARR (€11.5M) × ARR multiple. No further dilution assumed.

ARR multiple	Exit value	Seed proceeds	Seed multiple	Seed IRR	Pre-seed multiple	Pre-seed IRR
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| 4x | €46.1M | €9.2M | 6.1x | 62% | 21.5x | 75% | | 6x | €69.1M | €13.8M
| 9.2x | 81% | 32.2x | 88% | | 8x | €92.1M | €18.4M | 12.3x | 95% | 43.0x |

98% |

Holding periods: seed 3.75 years (Q1 2028 to end of 2031), pre-seed 5.5 years (mid-2026 to end of 2031).

11. Valuation

11.1 Discounted cash flow

Free cash flow is discounted at **25%**, a venture-stage rate that reflects execution risk (a mature SaaS company would use 10–12%). Terminal value uses the Gordon growth model with **3%** long-term growth.

k€	FY2027	FY2028	FY2029	FY2030	FY2031
Free cash flow	(140)	(201)	156	1,550	3,573
Discount factor	0.800	0.640	0.512	0.410	0.328
Present value	(112)	(129)	80	635	1,171

Component	k€
Present value of FY2027–FY2031 free cash flow	1,645
Terminal value at FY2031 ($FCF \times (1 + g) \div (WACC - g)$)	16,728
Present value of terminal value	5,481
Enterprise value (DCF)	7,126

Sensitivity of the DCF value (k€)

Discount rate \ Terminal growth	2%	3%	4%
20%	10,154	10,717	11,350
25%	6,837	7,126	7,443
30%	4,855	5,020	5,198

11.2 Market multiples

Listed and private vertical SaaS companies with growth above 40% are

commonly valued at 5–10x ARR. Applying 6x to FY2031 ARR gives an exit value of €69.1M, worth €22.6M today at the same 25% discount rate.

11.3 Summary

Method	Value today
DCF (Gordon terminal value)	€7.1M
ARR multiple exit, discounted (6x FY2031 ARR)	€22.6M
Seed post-money used in this plan	€7.5M

The seed post-money of €7.5M sits between the two methods and leaves room for investor return, which supports it as a fair entry valuation.

12. Risks and mitigation

Risk	Likelihood	Impact	Mitigation
Slow enterprise sales cycles	High	High	Paid pilots of 5–10 sites; insurer and EPC channels; public-partner pull
A quiet fire season lowers urgency	Medium	Medium	Year-round value: drills, protocols, CSRD climate-risk reporting
Sensor hardware failures in the field	Medium	Medium	Replacement budget in the model; tilt and heartbeat alerts; field partners
Liability if a fire harms a site	Low	High	Decision-support positioning; human approval; no firefighting advice; professional insurance
AI gives a wrong or unsafe suggestion	Medium	High	Evidence-cited output, tactics filter, human approval, rule-based fallback
Large incumbents copy the product	Medium	Medium	Speed, focus on asset owners, partner network, protocol lock-in
Satellite data access changes	Low	Medium	Several sources (NASA FIRMS, Copernicus); ground sensors reduce dependence

Funding delay	Medium	High	Public funding (ENISA, grants); bear case survives on planned funding; cost levers in hiring
Data protection and security	Low	High	EU hosting, per-customer data isolation, role-based access, audit log

13. Milestones and roadmap

When	Milestone
Q4 2026	Company incorporated; pre-seed and ENISA loan closed; 3 sensor pilot sites in Ourense
Q2 2027	First paying customers; sensor hardware v1 certified (CE, radio)
Q4 2027	6 customers, 60 sites; grant programme completed
Q1 2028	Seed round of €1.5M closed
Q4 2028	18 customers, 252 sites; first insurer partnership
Q4 2029	40 customers, ARR €2.6M; monthly EBITDA positive around Aug 2029
FY2030	First profitable year; entry into southern France and Italy through partners
FY2031	110 customers, 2,860 sites, ARR €11.5M

14. Impact

- **Lives and safety:** earlier warning and clear procedures for people working on remote sites.
- **Climate resilience:** protects the renewable energy and grid assets the energy transition depends on.
- **Rural jobs:** field installation and maintenance jobs in rural Galicia and beyond.
- **Public good:** a free shared view for fire services and civil protection.
- **UN Sustainable Development Goals:** 7 (clean energy), 9 (resilient infrastructure), 11 (safe communities), 13 (climate action) and 15 (life on land).

15. Appendix: methodology and formulas

Revenue. Platform revenue = average sites in the year $\times$ blended price. Average sites = (opening + closing sites) $\div$ 2. Blended price = Essential price $\times$ (1 – Professional share)

- Professional price $\times$ Professional share.

ARR. Closing sites $\times$ blended price + closing paying sensor sites $\times$ sensor fee.

Sensor fleet. Capex = new sensor sites $\times$ kit cost + opening sensor sites $\times$ replacement rate $\times$ sensor cost. Depreciation is straight-line over 4 years with a half-year convention in the first and last year.

EBITDA. Gross profit + depreciation – operating expenses.

Tax. Losses are carried forward and used against later profits; 15% applies to the first two years with a positive tax base (Spanish rate for new companies), 25% afterwards. The 70% offset limit for large bases is ignored, as it does not bind at this scale.

Working capital. Receivables = revenue $\times$ 45 $\div$ 365. Payables = non-payroll cash costs $\times$ 30 $\div$ 365. Deferred revenue = 45% of annual subscription run rate at year end (annual billing in advance, renewals spread through the year).

Break-even month. Monthly EBITDA is modelled as $m(t) = a + b \cdot t$ over the 24 months of FY2029 and FY2030, fitted so that each year's 12 months add up to its annual EBITDA. The break-even month is where $m(t) = 0$.

DCF. Enterprise value = $\sum FCF_t \div (1 + r)^t + TV \div (1 + r)^5$, with $TV = FCF_{2031} \times (1 + g) \div (r - g)$.

LTV and CAC. LTV = ARPA $\times$ gross margin $\times \sum (1 - \text{churn})^t$ over $t = 0 \dots 4$, the gross profit a customer brings over five years weighted by retention. CAC is fully loaded: (sales and marketing + 50% of customer success + 30% of founders' time) $\div$ new customers in the year. The five-

year horizon keeps LTV conservative for a young company.

IRR. The discount rate at which the net present value of the cash flows is zero, solved numerically.

Source of every figure. All tables are generated from `model.py` in the same folder; changing an assumption and running `python build_plan.py` regenerates this document.

PyraGrid, September 2026. Forward-looking statements are based on the assumptions above and are subject to risks and uncertainties; actual results may differ.